NOTE K - INCOME TAXES

The components of income before income taxes were:

(THOUSANDS OF DOLLARS)	2009	2008	2007
U.S.	$ (2,901)	$ (767)	$ 6,315
Non-U.S.	3,271	3,536	3,050
	$ 370	$ 2,769	$ 9,365

The provision for income taxes consists of the following:

(THOUSANDS OF DOLLARS)	2009	2008	2007
Currently Payable (Receivable):			
Federal	$ (879)	$ (767)	$ 3,968
State	(182)	334	334
Foreign	1,015	897	559
	(46)	464	4,861
Deferred:			
Federal	(1,403)	1,732	(2,382)
State	29	(9)	(5)
Foreign	(65)	88	164
	(1,439)	1,811	(2,223)
Total	$ (1,485)	$ 2,275	$ 2,638

The reconciliation of income taxes computed at the statutory Federal income tax rate to the provision for income taxes from operations is as follows:

(THOUSANDS OF DOLLARS)	2009	2008	2007
Statutory Federal income tax provision	$ 130	$ 969	$ 3,278
State income tax expense, less Federal tax benefit	(118)	217	243
Foreign tax rate differential	(298)	4	(345)
Goodwill Impairment	-	1,380	-
Adjustment related to uncertain tax benefits	(367)	(283)	(503)
Settlement of items subject to audit	(818)	-	-
Miscellaneous	(14)	(12)	(35)
Income Tax Provision	$ (1,485)	$ 2,275	$ 2,638

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities at January 2, 2010 and January 3, 2009 are as follows:

(THOUSANDS OF DOLLARS)	2009	2008
Current Deferred Tax Assets and Liabilities:		
Assets:		
Additional costs inventoried for tax purposes and inventory adjustments not deductible for tax purposes	$ 2,658	$ 2,121
Excess benefit plan	825	841
Accrued pension costs	490	706
Other	2,265	1,729
	6,238	5,397
Less valuation allowance	(1,146)	(1,001)
Current Deferred Tax Assets	5,092	4,396
Liabilities:		
Current Deferred Tax Liabilities	-	(55)
Net Current Deferred Tax Asset	$ 5,092	$ 4,341
Long-Term Deferred Tax Assets:		
Intangible assets	$ 1,094	$ 2,245
Accrued warranty costs	755	713
Foreign tax credit carryforward	2,054	-
Net operating loss carryforward	3,020	2,835
Accrued pension costs	5,486	5,636
Deferred gain on sale of real estate	1,512	1,506
Property, plant and equipment, principally due to differences in depreciation	384	881
Other	1,032	1,155
	15,337	14,971
Less valuation allowance	(3,559)	(3,491)
Long-Term Deferred Tax Asset	$11,778	$11,480
Net Deferred Tax Asset	$16,870	$15,821

At January 2, 2010 and January 3, 2009, undistributed earnings of foreign subsidiaries amounted to approximately $26.2 million and $22.9 million, respectively. These earnings could become subject to additional tax if they are remitted as dividends or if certain other circumstances exist. The amount of additional taxes that might be payable on the undistributed foreign earnings of $26.2 million approximates $8.3 million. This amount has not been recorded because it is the Company's intention to permanently invest the remainder of the undistributed earnings of its foreign subsidiaries in the growth of business outside the United States.

At January 2, 2010, the Company had state net operating loss carryforwards of approximately $27.7 million, which expire in fiscal years from 2010 to 2028. Net operating loss carryforwards for certain foreign subsidiaries were approximately $4.3 million for tax purposes. A portion of these losses will expire in fiscal years from 2010 to 2022 and a portion does not expire. A valuation allowance has been provided for the foreign and state net operating losses and temporary differences that are estimated to expire before they are utilized. The increase of $0.2 million in the valuation allowance in fiscal 2009 primarily related to changes in the state deferred tax assets.

Deferred income taxes arise from temporary differences between the tax and financial statement recognition of revenue and expense. In evaluating our ability to recover our deferred tax assets within the jurisdiction from which they arise we consider all available positive and negative evidence, including reversals of deferred tax liabilities, projected future taxable income, tax planning strategies and recent financial operations. It is management's assertion based on the evaluation of this evidence that it is more likely than not that sufficient future taxable income will be generated to realize the tax benefit of the deferred tax assets, net of the valuation allowance.

The Company recorded a charge to retained earnings of $0.7 million in fiscal 2007 as a result of the adoption of an accounting standard update regarding uncertain tax positions. As of January 3, 2009, the Company had provided a liability of $1.8 million for unrecognized tax benefits related to various Federal, state and foreign income tax matters. Of this amount, $0.5 million of the unrecognized tax benefit would have impacted the Company's tax rate, if recognized. As of January 2, 2010, the liability is $0.6 million and $0.5 million of the unrecognized tax benefit would impact the Company's effective tax rate, if recognized.

The following is a tabular reconciliation of beginning and ending balances of unrecognized tax benefits.

(THOUSANDS OF DOLLARS)	2009	2008	2007
Beginning of Year	$ 1,848	$ 2,063	$ 2,114
Gross decreases - tax positions in prior period	(722)	(18)	(23)
Gross increases - tax positions in prior period	-	-	5
Gross increases - current period tax positions	98	9	44
Lapse of statute of limitations	(638)	(206)	(77)
End of Year	$ 586	$ 1,848	$ 2,063

The Company is currently subject to audit by the Internal Revenue Service ("IRS") and certain foreign jurisdictions for the calendar years ended 2006 through 2009. The Company concluded the IRS audit of the 2005 tax year in the first quarter of 2009 and recorded those results in that quarter. In certain foreign jurisdictions, the Company is currently subject to audit for tax years prior to 2005; this varies depending on the jurisdiction. The Company and its subsidiaries' state income tax returns are subject to audit for the calendar years ended 2005 through 2009.

As of January 3, 2009, the Company had accrued $0.5 million of interest and $0.1 million of penalties related to uncertain tax positions. As of January 2, 2010, the amount of accrued interest is $0.2 million and the amount of accrued penalties is $0.1 million. The Company accounts for interest and penalties related to uncertain tax positions as part of its provision for income taxes. The liabilities resulting from the adoption of an accounting standard update related to uncertain tax positions, including tax, interest and penalty, are included in other long-term liabilities on the Company's consolidated balance sheet.

The Company is subject to income taxes in many jurisdictions around the world. Significant judgment is required in determining the worldwide provision for income taxes. In the ordinary course of business, there are many transactions and calculations in which the ultimate tax determination is uncertain. Although the Company believes the estimates for uncertain tax positions are reasonable and recorded in accordance with accounting standards, the final determination of tax audits and any related litigation could be materially different than that which is reflected in historical income tax provisions and accruals. Additional taxes assessed as a result of an audit or litigation could have a material effect on the Company's income tax provision and net income in the period or periods in which the determination is made. Changes in estimates made in fiscal 2009 and 2008 were the result of more precise information, current actions by taxing authorities and the expiration of statutes of limitation in certain jurisdictions.